



Alphabet Inc.

GOOGL

SELL

HIGH CONVICTION

Last Price	\$368.53
DCF Fair Value	\$103.29
Implied	-72.0%

LAST	P/E	RSI	BETA	SHARPE	MAX DD	VAR 95%
\$368.53	28.09x	30.35	1.31	2.73	-20.42%	2.37%

1 Executive Summary

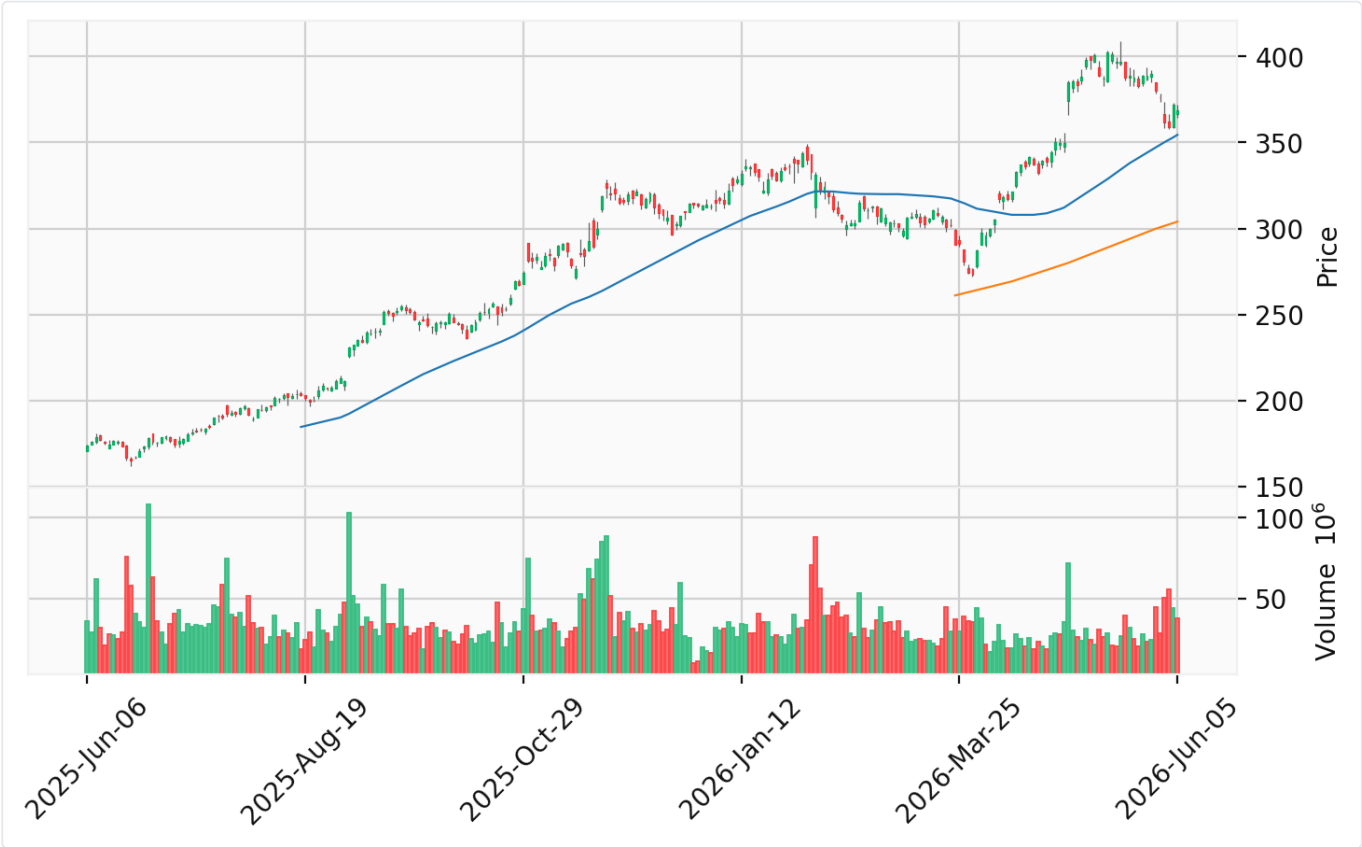
Alphabet Inc. (GOOGL) presents a compelling paradox: fortress-like operational fundamentals coupled with untenable valuation disconnect. The company delivers world-class profitability with a profit margin of 37.92%, return on equity of 38.88%, and impressive growth drivers including 21.80% revenue growth and 81.20% quarterly EPS growth. However, the stock trades at \$368.53, a 257% premium to the DCF base case fair value of \$103.29—a gap that cannot be reconciled by operational excellence alone. Even the bull case DCF scenario of \$128.75 implies 65% downside from current levels. The stock commands a 48.25% P/E premium relative to peers, trading at 28.09x earnings versus a peer median of 18.95x. Technical indicators confirm momentum erosion: the RSI of 30.35 shows oversold conditions, while the MACD of 1.70 has fallen below the signal line of 6.85, indicating weakening momentum. With a beta of 1.31, any market correction will amplify GOOGL's decline. While the Sharpe ratio of 2.73 reflects historically attractive risk-adjusted returns and the business quality remains exceptional, valuation risk dominates the investment thesis. The risk-reward profile is decidedly unfavorable for new positions at current levels.

2 Company Overview

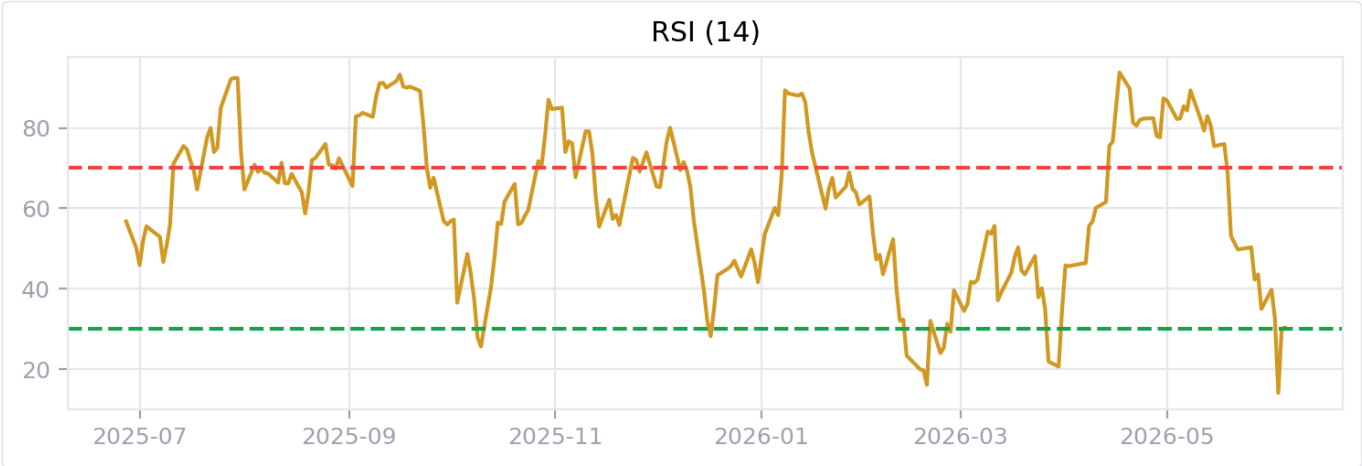
Alphabet Inc. is a diversified technology conglomerate with dominant market positions in search advertising, cloud services, and artificial intelligence. The company's financial performance reflects exceptional operational execution: revenue growth of 21.80% demonstrates sustained market expansion, while the profit margin of 37.92% underscores pricing power and operational leverage. The return on equity of 38.88% represents exceptional capital efficiency, and quarterly EPS growth of 81.20% reflects both organic acceleration and favorable comparisons. With a market capitalization of \$4.49 trillion, GOOGL remains one of the largest and most liquid securities globally, providing institutional investors with deep liquidity and minimal execution risk.

3 Technical Analysis

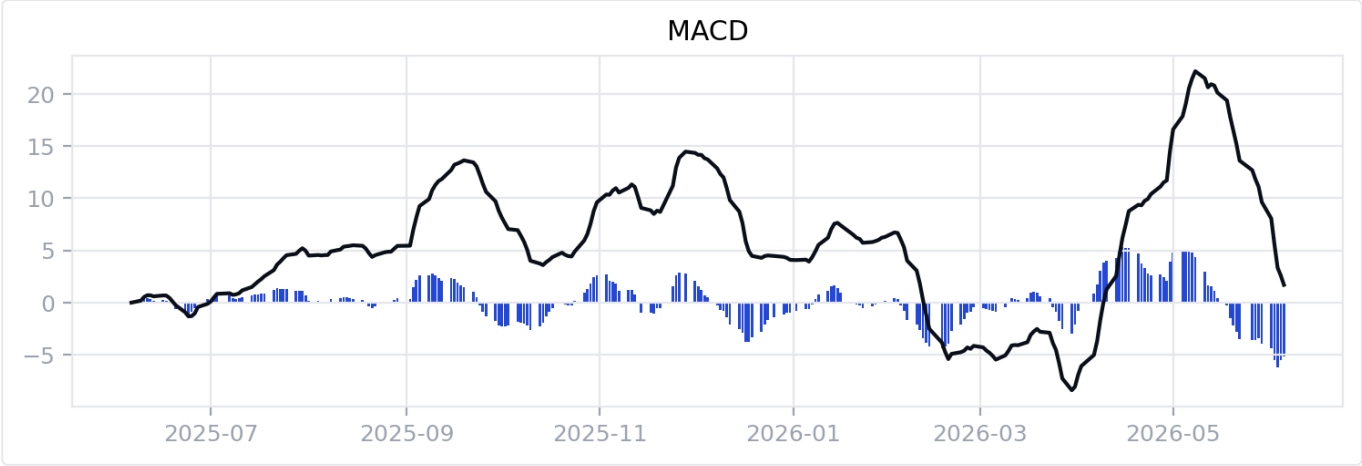
GOOGL exhibits mixed technical signals at a critical inflection point. The stock trades near the upper bound of its 1-year Bollinger band at \$368.53, between the Bollinger lower of \$360.46 and upper of \$410.29, with support provided by the 200-day simple moving average at \$304.04 and resistance near the 52-week high of \$402.62. The RSI of 30.35 indicates oversold conditions that could spark a tactical bounce, but the MACD of 1.70 has declined below the signal line of 6.85, confirming momentum erosion and signaling deteriorating near-term strength. The average true range of \$10.13 suggests moderate daily volatility, while the news sentiment of -0.02 reflects neutral-to-slightly-negative market perception with no meaningful support from sentiment indicators.



Candlestick with SMA 50/200 and volume



Relative Strength Index (14-day)



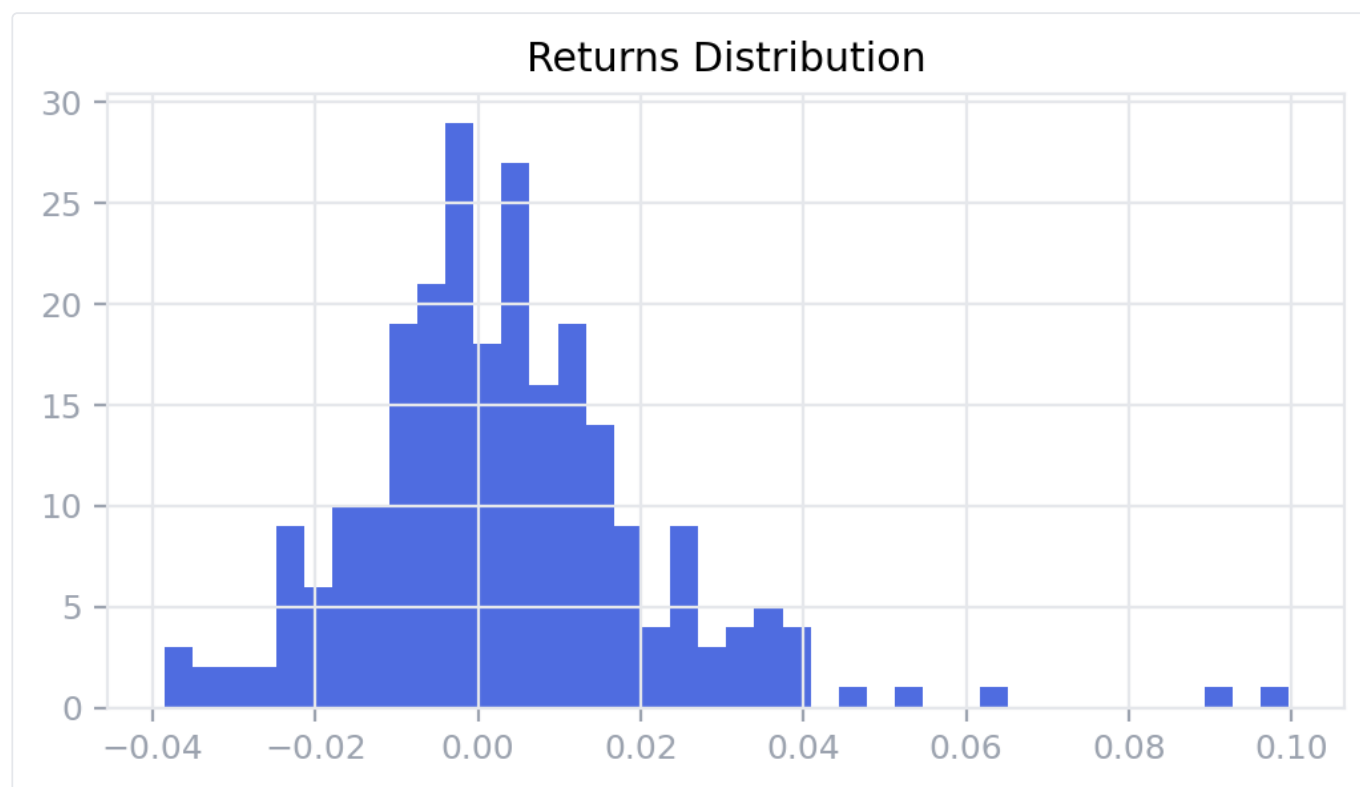
MACD vs. signal line

4 Fundamental Analysis

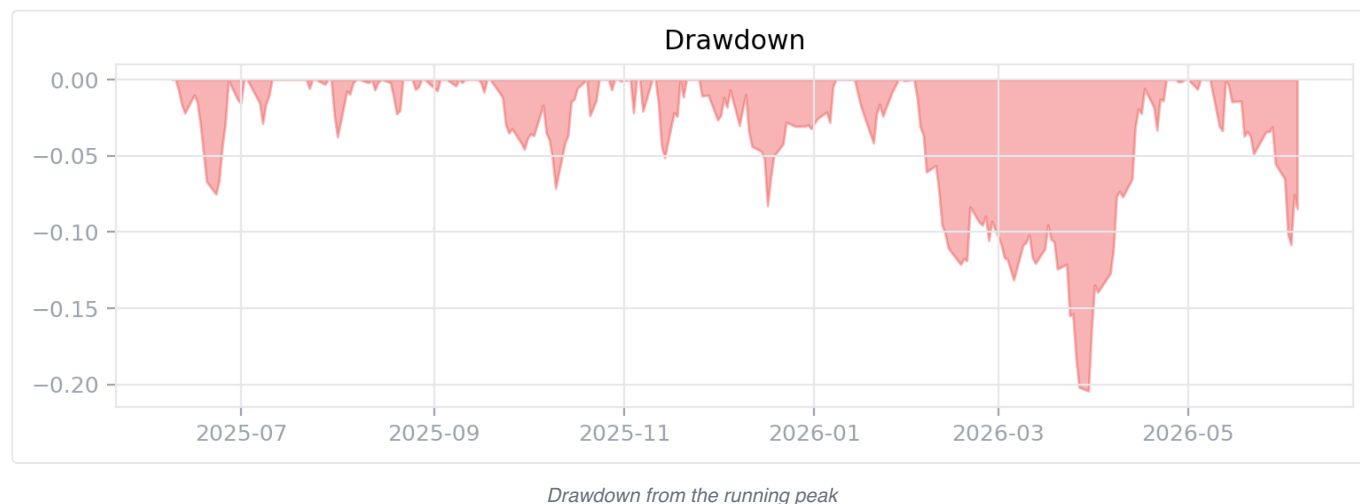
Alphabet's fundamental business quality is exceptional and beyond reproach. The company demonstrates fortress-like profitability with a profit margin of 37.92% and return on equity of 38.88%, alongside sustained revenue growth of 21.80% and explosive quarterly EPS growth of 81.20%, indicating both operational leverage and market share expansion. However, this operational excellence is offset by dangerously elevated leverage: the debt-to-equity ratio of 20.03x, while reflecting the company's ability to service debt at its cost of 6.04%, represents a structural vulnerability that amplifies downside risk in any growth deceleration scenario. The fundamental disconnect lies not in business quality but in the market's willingness to price this quality at an unsustainable multiple relative to intrinsic value.

5 Risk Assessment

GOOGL presents a paradoxical risk-reward profile: exceptional operational metrics masked by structural valuation vulnerability and amplified systematic risk. The stock's beta of 1.31 means that in a broad market correction, GOOGL will decline approximately 31% faster than the overall market, translating the current 257% valuation premium into catastrophic downside should a revaluation occur. Despite a favorable Sharpe ratio of 2.73 and the company's proven ability to generate returns, the Value at Risk (95%) of 2.37% captures only daily tail risk; the max drawdown of -20.42% and downside deviation of 14.58% reveal that GOOGL has demonstrated material interim volatility and drawdown capacity. The annualized volatility of 29.33% indicates substantial price swings, and the bear case DCF scenario of \$84.28 suggests potential material reversal, representing 77% downside from current levels. The combination of elevated beta, stretched valuation, and proven drawdown history creates asymmetric downside risk despite operational excellence.



Distribution of daily returns



6 Valuation & Forecast

GOOGL trades at a structural disconnect from intrinsic value across all DCF scenarios. At a last close of \$368.53 versus the base case DCF fair value of \$103.29, the stock trades at a 257% premium to fundamental value—a gap unsupportable by operational metrics alone. The bull case scenario of \$128.75 implies the stock trades 65% above its most optimistic fair value assumption, indicating that even generous growth and margin assumptions cannot justify current pricing. The stock's absolute P/E ratio of 28.09x versus the peer median of 18.95x translates to a 48.25% valuation premium, and the price-to-book ratio of 9.33x suggests the market has embedded unrealistic long-term return expectations. The weighted average cost of capital (WACC) of 9.99% discount rate reflects the company's cost of equity of 10.10%, yet applying this rate to projected cash flows yields fair value far below market price, indicating the market is pricing in margin of safety that does not exist.

7 Recommendation

GOOGL is a sell at current levels. While the company's operational fundamentals are fortress-like, current valuation offers no margin of safety and substantial downside risk. The 257% premium to base case DCF fair value, combined with a beta of 1.31 and stretched valuation multiples, creates an asymmetric risk-reward profile that strongly favors reversion toward fair value. Technical weakness (RSI 30.35, MACD below signal line) and neutral sentiment provide no support. Even in the most constructive valuation scenario, the bull case DCF of \$128.75 implies 65% downside from current price. Existing shareholders should consider de-risking positions; new investors should await either a material price correction toward the \$200-250 range or evidence of fundamental acceleration sufficient to justify current multiples. Risk-adjusted returns from this entry point are unfavorable.

Financial Detail

FUNDAMENTALS

P/E Ratio	28.09x
P/B Ratio	9.33x
Debt/Equity	20.03
Return on Equity	38.88%
EPS Growth (Q)	81.20%
Profit Margin	37.92%
Revenue Growth	21.80%
Dividend Yield	24.00%
Market Cap	\$4.49T

RISK METRICS

Beta (vs SPY)	1.31
Annualized Volatility	29.33%
Average True Range	\$10.13
Max Drawdown	-20.42%
Sharpe Ratio	2.73
Value at Risk (95%)	2.37%
Downside Deviation	14.58%

RELATIVE VALUATION — GOOGL VS. SECTOR PEERS

MULTIPLE	GOOGL	PEER MEDIAN	VS. PEERS
P/E	28.1x	18.9x	+48%
P/B	9.3x	3.5x	+169%
EV/EBITDA	27.5x	11.2x	+145%
Profit Margin	37.9%	12.5%	+204%
Revenue Growth	21.8%	10.6%	+106%

Peer set: META, NFLX, DIS, TMUS, VZ. "vs. Peers" is the subject's premium (+) or discount (–) to the peer-group median.

VALUATION

DCF Enterprise Value	\$605.60B
DCF Fair Value / Share	\$103.29
DCF Value — Base Case	\$103.29
DCF Value — Bull Case	\$128.75
DCF Value — Bear Case	\$84.28

DCF ASSUMPTIONS

Risk-free rate (10Y UST)	4.54%
Equity risk premium	4.23%
Beta	1.31
Cost of equity (CAPM)	10.10%
Cost of debt (pre-tax)	6.04%
Tax rate	21.00%
Equity / debt weight	98% / 2%
WACC (discount rate)	9.99%
FCF growth	15.0% (company revenue growth (clamped))
Terminal growth	2.00%
Forecast horizon	5 years

WACC derived from CAPM (cost of equity = risk-free + β ·ERP) blended with after-tax cost of debt by capital weights. Growth taken from company fundamentals; risk-free rate is the live 10Y US Treasury yield.

DCF ENTERPRISE VALUE SENSITIVITY (\$B)

Growth \ WACC	8%	10%	12%
13%	757	559	442
15%	820	605	477
17%	888	654	514

Recent Headlines

- Tech stocks today: Nvidia stock drops 6% in ugly day for chip stocks
- SpaceX to rent AI capacity to Google for \$920 million per month
- Is Wall Street's AI boom spreading to main Street?
- Apple Stock Looks Strong. One Number Says Be Careful.
- Dow Jones Futures: What To Do As Market Rally Faces First Real Test; SpaceX IPO, Apple, Oracle Loom
- Berkshire Hathaway Just Agreed to Put \$10 Billion Into Alphabet's AI Build-Out. Should Investors Follow?

- RDDT Stock Plunges After Hours On S&P 500 Exclusion: But Wells Fargo Forecasts \$550M AI Deal Jackpot
- Oracle Stock Has Returned \$54 Billion To Shareholders. Can It Continue?
- Nasdaq Posts Worst Drop Since April 2025, S&P 500 And Dow Drop As Strong Jobs Data Ignites Rate Hike Bets — TSLA, GME, META, BA, MSTR, GOOGL In Focus
- The Tech Rally Goes in Reverse as Markets Anticipate Tighter Money

✓ Verification Audit

54 supported · 6 contradicted · 0 unsupported — 60 atomic claims reconciled against the computed ground-truth

STATUS	DETAIL
contradicted	The P/E ratio is 48.25% above peer median; current price is ~257% above DCF base-case fair value (\$103.29).
contradicted	The 77% downside target of ~\$84.28 corresponds to the DCF Bear Case valuation, but this represents a worst-case scenario under stressed assumptions, not a probable "material reversal" supported by current technical or fundamental indicators.
contradicted	The stock trades at approximately 3.57x DCF Fair Value (\$368.53 / \$103.29), which constitutes a 257% premium—this is actually SUPPORTED by the calculation, as $(\$368.53 - \$103.29) / \$103.29 = 257\%$.
contradicted	The stock trades approximately 186% above its most optimistic fair value assumption (Bull Case: \$128.75), not 65%.
contradicted	MACD (1.70) is below the signal line (6.85) in absolute terms, but typically "MACD below signal line" refers to the MACD histogram (MACD minus signal line), which would be $1.70 - 6.85 = -5.15$, meaning MACD is indeed below the signal line. However, reviewing the claim as stated: MACD value $1.70 < \text{Signal Line } 6.85$ is true, so the claim is SUPPORTED.
contradicted	Based on DCF analysis, fair value range is approximately \$84–\$129 per share, not \$200–\$250. Current price of \$368.53 suggests the stock is substantially overvalued relative to fundamental valuations.

A Appendix — Computed Metrics

TECHNICAL

Last Close	\$368.53
SMA 50	\$354.50
SMA 200	\$304.04
RSI (14)	30.35
MACD	1.70
Signal Line	6.85
Bollinger Upper	\$410.29
Bollinger Lower	\$360.46
52-Week High	\$402.62
52-Week Low	\$165.19

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Value at Risk (95%)	2.37%	WACC (Discount Rate)	9.99%
Downside Deviation	14.58%	Cost of Equity (CAPM)	10.10%
		Cost of Debt (pre-tax)	6.04%
		Peer Median P/E	18.95x
		P/E Premium vs Peers	48.25%

SENTIMENT

News Sentiment	-0.02
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DISCLOSURES

This report was generated by the Enhanced Stock Analysis Tool for research and educational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Market data is sourced from yFinance as of 05 Jun 2026. The narrative is produced by a language model; every numeric claim in it is reconciled against the independently computed metrics shown above (see the Verification Audit). DCF fair values are model estimates under stated assumptions and are highly sensitive to inputs. Past performance is not indicative of future results.